

TURKISH TRADE LAWYERS

Istanbul · Türkiye

INVESTOR GUIDE · 2026 EDITION

Investment Incentives & Exemptions in Türkiye

Thresholds, Regional Supports & Compliance Criteria

PREPARED FOR

Foreign investors and international companies
evaluating capital deployment in Türkiye.

EDITION

2026 · v1.0

JURISDICTION

Republic of Türkiye

PRACTICE AREA

Tax & Investment Law

INTRODUCTION

A Strategic Overview for 2026

Türkiye's investment incentive regime remains one of the most comprehensive in the broader EMEA region, combining tax reductions, social security support, customs and VAT exemptions, and regional development premiums. For 2026, the regime introduces revised minimum capital thresholds, sharper technical compliance criteria, and a stronger emphasis on green and digital transformation.

This guide consolidates the essential parameters that foreign investors and international companies must understand before structuring an investment in Türkiye. It is organised across four reference sections — minimum thresholds, regional support comparison, technical compliance, and key takeaways — each designed to support early-stage feasibility analysis and pre-application planning.

AT A GLANCE	
Regime	Investment Incentive Certificate (Yatırım Teşvik Belgesi)
Authority	Ministry of Industry and Technology
Coverage	All 81 provinces, classified into 6 development regions
Core benefits	Tax reduction · SSI support · VAT/customs exemption · Land allocation
Effective date	2026 thresholds applicable to certificates issued in 2026

SECTION I

2026 Minimum Fixed Investment Thresholds

Eligibility for an Investment Incentive Certificate is determined first by the minimum fixed investment amount applicable to the project's category and location. The 2026 thresholds, denominated in Turkish Lira (TRY), are set out below.

Investment Category / Type	2026 Minimum Threshold
Regions 1 & 2 e.g., Istanbul, Bursa, Kocaeli	15,100,000 TRY
Regions 3, 4, 5 & 6 Anatolia & Eastern Regions	7,500,000 TRY
Strategic High-Tech Investments	125,000,000 TRY
Green & Digital Transformation Programs	62,700,000 TRY
Financial Leasing — Minimum	3,800,000 TRY

Table I. 2026 minimum fixed investment thresholds by category. Thresholds determine baseline eligibility; project-specific support intensity is set under the regional regime in Section II.

PRACTICE NOTE

Threshold revisions are issued annually. The 2026 figures replace prior amounts and apply to certificates issued during the 2026 calendar year. Investments below the applicable threshold may still qualify under the General Investment Scheme, but will not access the Regional or Strategic regimes detailed in this guide.

SECTION II

Regional Support Comparison

Strategic Overview

Türkiye is divided into six development regions, with support intensity rising as the region's development index decreases. Region 1 (most developed, including Istanbul) receives the lowest support intensity; Region 6 (least developed) the highest. The comparison below highlights the spread between the two extremes.

Support Element	Region 1 (West)	Region 6 (East)
Tax Contribution Rate	15%	50%
Tax Reduction Rate	50%	90%
Social Security (Employer Share)	2 Years	10 - 12 Years
VAT & Customs Duty	Exempt	Exempt
Income Tax Withholding	Not Applicable	10 Years

Table II. Comparative support intensity between Region 1 and Region 6. Intermediate regions (2-5) fall on a graduated scale between these endpoints.

STRATEGIC IMPLICATION

The regional spread is decisive. An identical investment located in Region 6 may benefit from a tax reduction rate that is 40 percentage points higher, plus a decade of employer social security support and income tax withholding relief — none of which are available in Region 1. For manufacturing, agro-industry, and labour-intensive operations, regional selection is often the single most material variable in the post-tax return profile.

SECTION III

Key Technical Compliance Factors

Beyond capital thresholds and regional placement, the 2026 regime introduces three technical criteria that determine the scope and validity of incentives. Each must be addressed in the application file and substantiated through supporting documentation.

01

Green Deal Compliance

Projects that demonstrate measurable reductions in carbon footprint — through energy efficiency, renewable integration, circular-economy processes, or low-emission production — may qualify for *Priority Investment* status. This classification unlocks Region 5-equivalent support regardless of physical location, materially improving the return profile for projects sited in Regions 1-2.

02

HS Code (GTİP) Verification

Precise classification of imported machinery and equipment under the Harmonized System / Turkish GTİP nomenclature is mandatory for VAT and customs duty exemptions. Misclassification — whether under-declared or over-declared — is one of the most frequent grounds for incentive certificate revision and retroactive tax assessment. Pre-import HS opinion letters are strongly recommended.

03

US-97 Sectoral Coding

Strategic alignment with the latest US-97 sectoral codes determines the scope of applicable benefits — particularly for strategic high-tech investments and priority sectors. The sectoral code must be consistent across the feasibility report, the incentive application, and the company's NACE registration; discrepancies may narrow or invalidate the granted support package.

SECTION IV

Key Takeaways

01 Threshold first, then region.

Confirm the project clears the applicable minimum fixed investment threshold before optimising for regional support — sub-threshold projects fall outside the Regional and Strategic regimes entirely.

02 Regional choice is a quantifiable lever.

The spread between Region 1 and Region 6 can shift effective tax exposure by tens of percentage points and add a decade of social security relief. Site selection should be modelled as a financial variable, not solely an operational one.

03 Green Deal status reshapes the calculus.

Priority Investment classification can carry Region 5-level support to a Region 1 site. For ESG-aligned projects, the certification path may be more valuable than the geographic one.

04 Documentation is the binding constraint.

HS Code accuracy and US-97 alignment are administrative gates with substantive consequences. Build documentation hygiene into the project plan from day one.

05 The regime is dynamic.

Thresholds, regional maps, and priority sectors are revised regularly. Incentive structuring decisions made today should be re-validated against the regulation in force at the date of the certificate application.

NEXT STEPS**Speak with TTL about your investment.**

Turkish Trade Lawyers advises foreign investors and international companies on incentive structuring, application filing, and ongoing compliance throughout the certificate lifecycle. Schedule a confidential consultation to discuss how the 2026 regime applies to your project.

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SECTION V

Important Notices

Disclaimer

This guide is published by Turkish Trade Lawyers (TTL) for general informational purposes only. It summarises selected aspects of Türkiye's investment incentives and exemptions regime as understood at the date of publication. It does not constitute legal, tax, or financial advice, and should not be relied upon as a substitute for tailored professional counsel. Investment decisions, application filings, and compliance assessments require analysis of the specific facts of the project, the regulation in force at the relevant time, and consultation with qualified counsel admitted in Türkiye. TTL accepts no responsibility for actions taken or not taken on the basis of this guide.

Sources & Authorities

The 2026 thresholds, regional support framework, and technical compliance criteria summarised in this guide are derived from the Investment Incentive Decree and its implementing Communiqué, published by the Republic of Türkiye Ministry of Industry and Technology, together with related secondary regulation in the Official Gazette (Resmî Gazete). For the authoritative text, refer to **mevzuat.gov.tr** and the Ministry's official portal.

About Turkish Trade Lawyers

Turkish Trade Lawyers is an Istanbul-based legal consultancy serving foreign investors and international companies operating in Türkiye. The firm's practice spans company formation and structuring, tax, employment law and work permits, contract law and dispute resolution, real estate and citizenship applications, healthcare and medical tourism compliance, trade law, and corporate compliance. TTL acts as the trusted local legal partner for cross-border clients across the United Kingdom, the United States, the European Union, and Asia.

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